EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Aparri is a 1st class municipality located at the northernmost tip of Luzon Island, 595 kilometers from Manila. It is a coastal community situated at the mouth of the mighty Cagayan River, dividing it into two geographic areas – Aparri East and Aparri West. The Municipality is composed of 42 barangays sprawled within its 27,600.88-hectare land area, with a population of 65,857 inhabitants. The town proper is made up of 15 Centro block units, the rest in its immediate environs and the west barangays, including the island of barangay Fuga.

Farming and fishing are the people's main sources of livelihood. The vast fertile agricultural land produces abundant quantity of rice, corn, vegetable and legumes. The gently rolling hills are dotted with fruit-bearing trees and an excellent grazing land for livestock. Fishing and fish processing are vital industries. The bodies of water around and within Aparri are teemed with fishes and other marine resources. Nipa shingle sewing and wine-making are thriving enterprises in the western barangays, where nipa palm trees abound.

The strategic location of Aparri makes it a legitimate convergent zone. Since Spanish times, the town had already been the trade and commercial center in Northern Cagayan. It is also the hub and heart of education and learning, finance and institutions in the region. The presence of educational institutions, banks and other financial establishments and national government agencies magnetize people from other municipalities and locations to Aparri.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Aparri for the year 2024 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position and financial performance of the Municipality of Aparri, Cagayan for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Particulars	2024	2023	Increase/ (Decrease)
Financial Position			
Assets	1,233,026,327.51	1,161,307,066.79	71,719,260.72
Liabilities	285,971,479.38	255,434,202.81	30,537,276.57
Government Equity	947,054,848.13	905,872,863.98	41,181,984.15
Financial Performance			
Income	337,806,539.43	311,734,391.26	26,072,148.17
Expenses	327,555,143.57	289,839,941.51	37,715,202.06
Net Income	10,251,395.86	21,894,449.75	(11,643,053.89)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2024, in terms of implementation of programs, projects and activities, are as follows:

Program/ Project/ Activity	Amount
Construction of Multi-Purpose Building/Gymnasium (Phase VII)	P4,995,027.53
Improvement and Rehabilitation of Public Gymnasium roofing	2,004,746.30
Concreting of Road at Caagaman	1,995,793.26
Concreting of Road at Bukig to Caagaman	2,996,403.24
Concreting of Road Shoulder with Slope Protection at Tallungan	1,996,058.22
Construction of Drainage Canal (Phase II) at Maura	1,995,930.32
Construction of Road with Drainage Canal at Toran	1,993,573.44
Construction of River Control at Sanja	5,744,300.69
Total	**P23,721,833.00**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Aparri, Cagayan for the year-ended December 31, 2024 due to: (1) unreconciled difference of PPE account totaling P172,456,766.74 between the accounting and property records; (2) inappropriately reported semi-expendable accounts totaling P14,334,032.45; and (3) non-recording of various calamity assistance totaling P19,810,488.92 under the Trust Liabilities – DRRMF account.

F. Summary of Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Several donations amounting to P9.164 million were made with incomplete documentation due to the absence of a policy and guidelines on the grant of donations and other financial assistance, and were granted and drawn in the name of a person/individual, instead of the name of the recipient government agency or organization. Thus, exposing government funds to improper disposition and affecting the regularity and propriety of the transactions.

   We have recommended that the Management undertake the following:

   A. Adopt a clear policy and guidelines on the grant of donations and financial assistance;

   B. Instruct the Municipal Accountant to ensure that all payments for financial assistance and donations are adequately and properly supported with the required documents to support the validity and regularity of claims;

   C. Refrain from charging SEF related activities against Donations, as this practice depletes the budget for intended activities;

   D. Grant all donation/financial assistance checks in the name of the agency or organization and to ask for government official receipt on any agency donation/financial assistance to the government agencies and organizations; and

   E. Submit other approved ordinances, if any, for the realignment/augmentation or supplemental budgets for the excess expenditures incurred on Donations account, otherwise, said amount will be disallowed in audit.

2. Payments and reimbursements of petroleum fuel, oil and lubricants totaling to P13.906 million were made even without complete documentation and the reasonableness of the fuel consumption could not be ascertained. Hence, affecting the regularity of the disbursements.

   We recommended the following:

   A. The Management to require the proper accomplishment of Trip Tickets in the prescribed form before approval of the same and issuance of gas slips;

   B. The Municipal Accountant to ensure that payments for POL are supported with complete documentation; and

C. The GSO to regularly submit the Monthly Report on Fuel Consumption in the prescribed format.

3. The Disbursing Officer has drawn cash advances for the payment of financial assistance to victims of Typhoon Marce totaling to P12.7 million prior to the approval of payrolls or lists of claimants. Moreover, the payrolls submitted to liquidate said cash advances were signed by persons other than the payees named therein, without submitting the identification documents to support the written authority from the payees concerned. These irregularities indicate weakness in the control environment, thus exposing the public funds to risk of improper or illegal use.

   We recommended that the Management grant/draw cash advances based on approved payrolls and other necessary supporting documents, pursuant to Item 1.1.1 of COA Circular No. 2012-001, in order to forestall abuse and the incurrence of losses due to mishandling and misappropriation.

   We also recommended that the Municipal Accountant, the Municipal Treasurer and the concerned LGU officers, henceforth, require the submission of a written authority executed by the intended recipients authorizing other individuals to receive, on their behalf, the amount due, together with identification documents, in compliance with Item 1.2.1 of COA Circular No. 2012-001.

G. Summary of Total Suspensions, Disallowances, and Charges as of December 31, 2024

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	P9,000,000.00	-	P2,534,862.53	P6,465,137.47	28.17%
Current Year	-	-	-	-	-
Total	P9,000,000.00	-	P2,534,862.53	P6,465,137.47	28.17%
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

H. Status of Implementation of Prior Year's Audit Recommendations

Out of the eighteen (18) audit recommendations in the CY 2023 Annual Audit Report, fourteen (14) were implemented, three (3) were partially implemented while one (1) was not implemented.